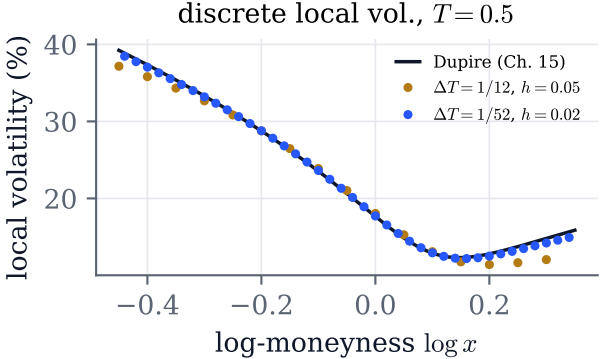
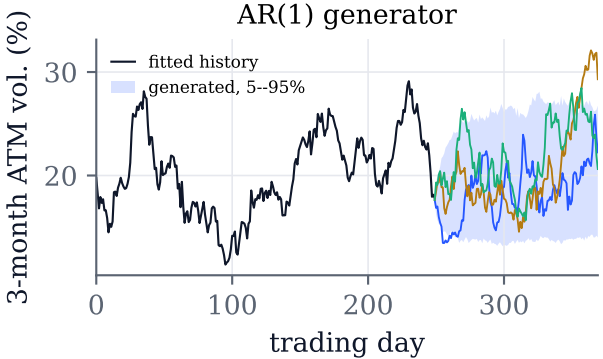

discrete local vol., $T = 0.5$
Dupire (Ch. 15)
$\Delta T = 1/12,\ h = 0.05$
$\Delta T = 1/52,\ h = 0.02$
local volatility (%)
40
30
20
−0.4
−0.2
0.0
0.2
log-moneyness $\log x$


AR(1) generator
fitted history
generated, 5--95%
3-month ATM vol. (%)
30
20
0
100
200
300
trading day